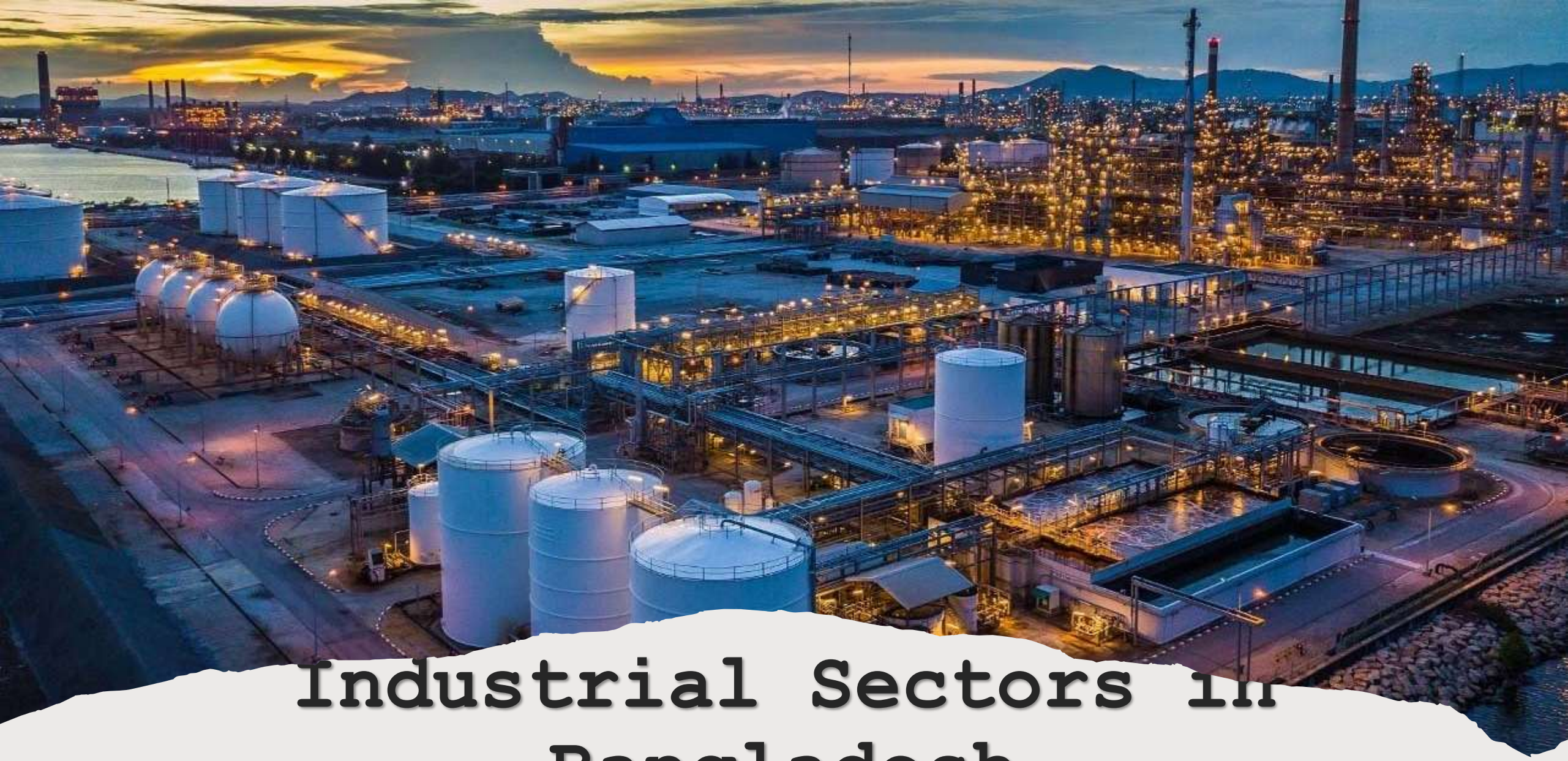


Industrial Sectors in Bangladesh

Industry

- An industry is a group of organizations involved in producing or handling the same type of products or services.
- There are several major industries, and new industries have started to emerge in Bangladesh.
- Importance:
  - Provides high wage
  - Increase GDP
  - Raise per capita income
  - Favorable balance of payment

Industrialization

- Industrialization is the period of social and economic change that transforms a human group from an agrarian society into an industrial one based on the manufacturing of goods and services.
- It is a process that happens in countries when they start to use machines to do work that was once done by people.
- Characteristics of industrialization include economic growth, more efficient division of labor, and the use of technological innovation to solve problems.

Historical Background



Ancient Period

- Bengal was renowned as a leading international trading hub for its world-famous crafts.
- During the 5th century, the largest port city of Tamrolipti had trade link with South India, Ceylon (Srilanka), Malay (Malaysia), Burma (Myanmar) and countries around the Gulf of Persia and the Far East.
- Major industries: textile, sugar, salt ivory and metal products.
- Arabian traders played the key role in establishing trade relations between Chittagong and the overseas destinations.
- The process of industrialization began in Bengal far ahead of the birth of Christ. The maslins of Dhaka became popular among the royal families of the world from about 325 BC.
- Bengal had a worldwide reputation for its ship-building industry at that time. Its export trade before 500 AD was significant in terms of both quality and quantity. The main export items were textile and fabrics, sugar, salt and ornaments.
- Many handicraft-making units were established throughout Bengal by 600 AD and this sector became very rich. The trend continued slowly up to the 17th century because the artisans were engaged in making only a few products for centuries together.

Mughal Period

- Industrial production in Bengal experienced a marked expansion during this era as the volume of export increased gradually with the participation of foreigners, especially the European companies.
- The increase of production and marketing helped a lot to popularize the use of trade documents in banking and insurance sectors.
- During the Mughal rule in Bengal, various traditional artisan families belonging to leading professional caste of spinning wheel operator weaver, carpenter and potter, contributed a lot for the development of local industries. From the 17th century high quality textile product became one of the profitable export items.
- With the expansion of the market the production of sugar also increased. A remarkable progress was made in production of salt from saline water during the 17th century.
- Within that period, other items produced in large-scale in Bengal were agriculture implements, metal lead wares and weapons, coppers moulds, ivory sculptures, woodcrafts, stitching and embroidery, and ornaments.

British Period

- Prior to establishment of British rule in India, the textile sector of Bengal was completely cottage-based
- During the British rule, the industries in Bengal specially its cottage industry had earned a prominent feature of compressed specialization due to various limitations.
- Bengal was the center of silk products in the British India and this industry drew much attention of the masters from the very beginning of British rule.
- East India Company developed a port in Kolkata for facilitating ship building, repairing of merchant ships and warships.
- Large-scale enterprises developed in British period were jute, sugar and salt industries.
- In many cases, local craftsmanship was discouraged, even the artisans were physically tortured and compelled to give up their traditional occupation for accommodating the imported goods.

Pakistan Period

- Policy: Production of arms and ammunition, hydro-electric power, railway carriage, telephone, telegraph and wireless were kept reserved for public sectors and the private entrepreneurship was encouraged to invest in all other sectors.
- The government created two specialized organization, the Pakistan Industrial Development corporations (PIDC) and the Pakistan Industrial Finance corporation (PIFC) to promote the industrialization efforts. PIDC had played an important role in establishing industrial units in various sectors including jute, paper board, cement, fertilizer, sugar, chemical products, textile, pharmaceutical, light engineering and shipbuilding.
- The central government adopted a discriminatory policy favoring West Pakistan for its industrial development by transforming wealth and capital investment from East Pakistan. Moreover, the government invested most of the external resources in West Pakistan for its industrial development.
- In spite of all these deliberate and discriminatory steps taken by the government of Pakistan, East Pakistan achieved a little progress in industriatlization from 1950 to 1970.

Bangladesh Period

- The industrial sector suffered a serious damage during the war of liberation in 1971
- The reconstruction and rehabilitation cost of the damaged industrial units was estimated at Taka 291 million
- **The journey of the nationalized industrial sector began in 1972 with 72 jute mills, 44 textile, 15 sugar mills, one still mill, a diesel engine unit and a ship building industry**. However, all these industries turned into loosing concerns very soon due to mainly mismanagement and secret removal of wealth and capital.
- Under the new policy of 1982, 1,076 state-owned enterprises were transferred to private owners. The privatization process had to suffer again because of the dearth of experience and management skill of the newly emerged rich people, who owned those mills and factories.
- New industrial ventures set up in the 1980s in Bangladesh have been playing a significant role in the country's economy.
- Most of the industrial units in Bangladesh belong to the small and cottage industries category.
- In the 1990s, the government followed a strategy of mixed policy comprising

Major Industrial Sectors



- **Garments Industry**: The Ready-Made Garments (RMG) industry is not only the driving force of the economy, the largest exporter and foreign exchange earner of the country and largest employer; it has also played a major role in changing the society. In addition to its economic contribution, the expansion of the RMG industry has caused noticeable social changes by bringing more than 2.10 million women into labor force.
- **Jute Industry**: Manufacture of jute goods was the single largest industry of Bengal under British rule and east Bengal (i.e. erstwhile East Pakistan) during the quarter century after 1947. After the emergence of Bangladesh as an independent state the contribution of the industry to the nation's GDP and in the field of employment declined (in absolute and relative terms). But, still it is playing a significant role, it provides direct employment to about 150

- **Pharmaceutical Industry:** It is one of the most developed high-tech sectors in Bangladesh. It is contributing a lot in the economy of the country. After the declaration of Drug Control Ordinance 1982, the development of this sector was accelerated. The growth was observed at a considerable rate in the last two decades. The professional knowledge, thoughts and innovative ideas of the Bangladeshi pharmacists working in this sector are the key factors for this development. Due to recent development of this sector, we are exporting medicines to global market including European market. This sector is also providing about 97% of the total medicine requirement of the local market.
- **Shipbuilding Industry:** Shipbuilding is a semi high-tech and capital-intensive sector. It is both promising and challenging industry in the World. Bangladeshi shipbuilding is not in competitive and international standard and also is in vulnerable stage. However, few local shipyards are capable of making ships up to 10,000 DWT (deadweight ton) as per international standard. More

- **Textile Industry:** The history of power-driven modern textiles in Bengal dates back to the beginning of the twentieth century. Before 1947, modern textiles were only the composite textile mills having spinning and weaving facilities. Added later were activities like specialized textile weaving, knitting and hosiery, and dyeing-printing-finishing. About a decade ago, most spinning mills of Bangladesh had produced low-grade yarn. The products of (local weaving mills) are cotton fabrics used as SARI, dhoti, lungi, blouse, shirting, drill, long cloth, poplin, saloo, grey markin, etc. The setting up of specialized textile mills having 10 to 50 looms per unit begun in Bangladesh in mid-1970. The locally produced cotton yarn also meets up the major requirement of the export market. However, the higher growth of textile has been occurred in the private sector.
- **Cottage Industry:** Cottage industry is called a synonym of handicrafts, artistic work in wood and metal, amateur artworks and rural artistry. At present the cottage industry has expanded to

Classification of Industries in Bangladesh



Large Industry

- Manufacturing: Value of fixed assets in excess of Tk. 50 crore or having more than 300 workers (RMG: 1000+).
- Non-manufacturing: Value of fixed assets in excess of Tk. 30 crore or having more than 120 workers.

Medium Industry

- Manufacturing: Value of fixed assets Tk. 15 crore – Tk. 50 crore or having 121 – 300 workers (RMG: up to 1000).
- Non-manufacturing: Value of fixed assets Tk. 2 crore – Tk. 30 crore or having 51 – 120 workers.

Small Industry

- Manufacturing: Value of fixed assets Tk. 10 crore – Tk. 15 crore or having 26 – 100 workers.
- Non-manufacturing: Value of fixed assets Tk. 10 lac – Tk. 2 crore or having 16 – 50 workers.

Micro Industry

- Value of fixed assets Tk. 10 lac – Tk. 75 lac or having 1 – 25 workers.
- Non-manufacturing: Value of fixed assets is less than Tk. 10 lac or having not more than 15 workers.

Cottage Industry

- Industries with predominance of family labor: Value of fixed assets is less than Tk. 10 lac or having not more than 15 workers.

Characteristics of Industrial Sector in Bangladesh



- Combination of cottage, micro, small, medium, and large industries
- The contribution of Industry sector to GDP is progressively increasing (22-23: 37.65%; 23-24: 37.95%)
- Major industries: readymade garments industry, fertilizer factory, sugar and food industry, textile industry, jute industry, and leather industry
- There is rarely any existence of basic and heavy industries
- Undeveloped industrial sectors
- A large number of industries are agro-based
- Lower level of techniques and technology
- Cottage industries are at a stake
- Both private and public ownership
- Lack of export-oriented industry
- Export Processing Zones (EPZs) have been established to increase export and attract foreign investment

Challenges



- **Lack of Adequate Capital:** Bangladesh being a poor country, people's saving is insufficient. As saving is poor, investment is also low. Again people's per capita income is not adequate. So, their consumption is also low. Consequently, local market-oriented industries are also very thin here.
- **Weak Investment Base:** Due to long colonial rule, economic discrimination and post-liberation nationalization of industrialization, the growth of entrepreneurship has been slow in Bangladesh. Besides, due to bureaucratic red-tapes and lack of investment climate, capital investment has not been developed here.
- **Labor Unrest:** There is a lack of trained workers in this country. Thus, there is a decline in the efficiency of the company. The companies also need to provide training (apprenticeship) to these laborers and hence quite an amount of money and time is spent on them. This challenge is faced by every company or firm in Bangladesh.

- **Insufficient Infrastructure:** Infrastructural facilities in our country are insufficient. Power supply, telecommunication, transport, gas, water supply etc. – all facilities are not adequate which have hindered process of industrialization in Bangladesh.
- **Technological Know-how:** Lack of proper technological know-how is also another reason of our industrial backwardness.
- **Lack of Adequate Resources:** Lack of adequate raw materials and natural resources are also unfavorable for our industrialization.
- **Shortage of Energy:** Acute shortage of energy and unreliable supply of power and other utilities such as gas and water.
- **Unskilled Human Resources:** Though Bangladesh has a huge population, most of them are unskilled. Country lacks skilled labor, specialists, professionals and technologists which also hamper our industrialization.

- **Political Instability:** A good government policy and political stability are precondition for industrialization. Unfortunately, political instability has always been a common phenomenon here. This is a major hindrance towards the advancement of the industry sector of Bangladesh. Frequent strikes result in disruption of daily business. This hampers the smooth running of industries; they are unable to procure raw materials in time hence their production and even transportation is delayed. As such, our industry cannot progress and compete with the outside world.
- **Limited Access:** Limited access to credit, its high cost, legal or illegal, and procedural complexities in obtaining credit from banks
- **Unfair Competition:** Competition from dumped and smuggled imports
- **Inadequate Law and Order Situation:** Lack of adequate law and order conditions
- **Crime:** Growing incidences of crime and extortion at every stage starting from production to distribution and marketing of the

Measures for Development



- **Industrial Culture:** We need to develop an industrial culture, where efficiency and innovation are rewarded, where markets function effectively.
- **FDI:** Foreign direct investment should be encouraged in all industries in Bangladesh.
- **Rural Industry:** Special emphasis must be placed on developing and modernizing rural industry.
- **Promoting SMEs:** Necessary steps should be taken to promote SMEs along with the large- scale industries, providing industrial loans and other supports.
- **Government Overseeing:** The government should track major land, water and related industrial projects and their impact on environment, and create awareness among the public on environmental protection, pollution, dumping of hazardous material on land and water.

- **Technology:** Industries should look for more technologically advanced equipment.
- **Political Stability:** A good government policy and political stability are preconditions for industrialization.
- **Combined Efforts:** Government and private sectors are required to take necessary steps to develop different type of industry in Bangladesh.
- **Proper Policies:** Appropriate Policy can play an important role to improve export and import trade in the country.
- **Local Raw Materials:** Ensuring maximum use of local raw materials in the production of exported goods.
- **Reducing Import Expenditure:** Import alternative industry like local raw material-based industries should be established to reduce import expenditure.

- **Proper Planning:** Proper land use planning and relocating the industry in suitable place where experienced workers are available in lower amount wage.
- **Increasing Productivity:** Modern energy efficient and cleaner technology should be taken to increase the industrial productivity.
- **SEZs:** The government must take challenges to ensure timely and cost-effective delivery of special economic zones (SEZs) projects.
- **Safety System:** Safety system must be improved to prevent any potential catastrophic industrial disaster.
- **PSM:** Process safety management (PSM) for process industries should be adopted by the regulatory authority and be implemented by the industries to ensure safe and sustainable productivity.

- Government patronization
- Increasing supply of capital
- Establishment of export-oriented industries
- Developing small industries
- Technical knowledge and efficient labor
- Development of power and mineral resources
- Earning foreign exchange
- Creation of market for industrial goods

Small and Cottage Industry



Main Cottage Industries in Bangladesh

- **Hand-loom industry:** Among all other cottage industries, hand-loom is the most notable. The famous muslin share produced in the hand-loom once encouraged the world market. The districts of Dhaka, Naraganganj, Norsingdi, Comilla, Pabna, Bagerhat, Kushtia, Bhairab, Tangail and Rajshahi are famous for hand-loom industry.
- **Charka:** Reeling of yarn by charka is nothing new in Bangladesh. Different types of popular dress materials and khadi are now-a-days produced with yarn reeled in the charka. In the northern area of Bangladesh especially in Rajshahi, cloths fabrics are produced from silk yarn for use of the people.
- **Biri:** Production of biri and bidi smoking although are not good for health, these have gained much popularity in the country. The low-income earners taking cheap biri helped employ millions for people of the country. There are biri factories in Rangpur, Dinajpur, Jessore, Kushtia and other places of Bangladesh.

- **Soap:** Necessity of soap in the daily life of the people cannot be denied for neatness and cleanliness. Therefore, demand for soap is gradually increasing. There are small soap producing factories almost everywhere in Bangladesh.
- **Silk:** Silk sharees manufacturing from silk are familiar almost everywhere of Bangladesh. A sizable quality of silk is produced in the northern areas of the country particularly in Rajshahi, Bogra, Pabna, and Dinajpur.
- **Pottery:** once upon a time there was demand for different items of pottery. A portion of people used to depend on this industry for their subsistence from generation to generation.
- **Timber:** Trees are intimately linked with daily life of human beings. Different types of attractive furniture are produced from timber available from trees. The use of timber will be long lasting.
- **Leather:** Many people are earning their livelihood by manufacturing shoes in different places of Bangladesh. Demand of leather shoes is increasing day by day as a result; importance of this industry is also gradually

- **Bamboo and Cane:** Among other cottage industries bamboo and cane are important. Any product made of bamboo and cane locally is liked by all types of customers.
- **Conch-shell and oyster:** The use of buttons made of oyster has fallen now a days; it was introduced and used by the people long ago. Many fashionable items are also now made of these, and customers use the same in their houses.
- **Weaving:** A good number of women of this country are earning money for their livelihood from weaving industry in their houses. Embroidered bags, designable dress materials and other attractive items prepared by our skilled manpower are exported abroad.

Importance of Small and Cottage Industry

- Solution to unemployment
- Employment opportunity for women
- Reduced pressure on agriculture
- Use of Indigenous raw materials
- Solution to the problem of capital
- Saving foreign exchange
- Supplementary to the large-scale industries
- Balanced economic development
- Balanced distribution of resources
- Preservation of natural tradition

Problems of Cottage Industry

- Lack of capital
- Competition with the large industries
- Defects in the production techniques
- Shortage of raw materials
- Demand for electricity
- Unskilled laborers
- Difficulties in marketing
- Limited market
- Lack of patronization
- Lack of government assistance

Solutions

- Structural change of products
- Supply of capital
- Supply of raw materials
- Policy for protection
- Development means of communication
- Education and training
- Creation of market
- Publicity
- Formation of cooperative society

References

- Bhuiyan, B. A. (2019). Industrialisation in Bangladesh: Prospects and Challenges. Daily Sun. www.daily-sun.com/post/368122/Industrialisation-in-Bangladesh:-Prospects-and-Challenges
- Sarkar, M. A. Prospects and Challenges of Industrialization in Bangladesh
- Habibullah, M. (2021). Industrialization. Banglapedia. https://en.banglapedia.org/index.php/Industrialisation
- National Industrial Policy, 2022
- Bangladesh Economic Review, 2024

THANK YOU!